They habitually spent every dime they made. As their salaries increased, so did their spending. Sometimes their spending increased faster than their salaries, and in those cases their credit cards would help to fill the gap.

Before they knew it, their combined debt had reached \$30,000. At an average interest rate of 18 percent, they paid \$5,400 a year just in interest on this debt. What if they had invested this money instead? Let's see the difference by using the Rule of 72. The Rule of 72 states, "Any interest rate divided into the number 72 will give you the number of years necessary to double your initial investment." For example:

<u>Example of an investment earning 3 percent</u> (like a savings account)

72 ÷ 3 = 24 years

If your initial investment is \$200, it will take twenty-four years to reach \$400 and forty-eight years to reach \$800 at 3 percent.

<u>Example of an investment earning 6 percent</u>

72 ÷ 6 = 12 years

If your initial investment is \$200, it will take twelve years to reach \$400; twenty-four years to reach \$800; thirty-six years to reach \$1,600; and forty-eight years to reach \$3,200.

<u>Example of an investment earning 12 percent</u>

72 ÷ 12 = 6 years

If your initial investment is \$200, it will take six years to reach \$400; twelve years to reach \$800; eighteen years to reach \$1,600; twenty-four years to reach \$3,200; thirty years to reach \$6,400; thirty-six years to reach \$12,800; forty-two years to reach \$25,600; and forty-eight years to reach \$51,200.

If the Howards had saved their \$5,400 at 10 percent (instead of losing it to interest payments) they would have doubled this